

# EG Energy and Environment Outlook: UK power market reform faces grid buildout and gas pricing constraints

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## 【要点】

- ・英国の電力価格上昇は天然ガスの限界費用設定役と限定的なシステムの柔軟性が主な原因であり、電池エネルギー貯蔵システム(BESS)の導入と送電網インフラの拡充が必要である。
- ・労働党政府のクリーン電力アジェンダと送電網拡張により、2030年までにガスが限界費用を設定する頻度は低下する見込みだが、ゾーン別価格設定の導入は難しく、限定的な価格メカニズム変更が優先される可能性が高い。
- ・英国のBESS容量は過去10年間で10メガワットから7ギガワットに増加し、接続待ちは83ギガワットだが、現在のところピーク需要削減には不十分であり、2030年代にガス火力発電の段階的廃止を目指す。
- ・再生可能エネルギーは経済的に競争力があるが、新規電源の送電網接続に時間を要しており、接続待ちキューは英国の2030年クリーン電力目標の達成に必要な容量の約4倍である。

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## 【メール原文】

Energy and Environment Outlook

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UK power market reform faces grid buildout and gas pricing constraints

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- \* High gas costs cited as key driver of elevated UK electricity prices
  - \* Ofgem boosts investment in long-duration electricity storage after heat waves expose UK grid gaps
  - \* Despite its centrality to the G7 agenda, alignment remains elusive
  - \* Competing land claims are eroding forest governance and raising business risk
  - \* DOE nuclear announcement is significant, though AP1000s need more support to advance
  - \* Coal-to-chemicals and green molecules poised for more Chinese policy support
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High gas costs cited as key driver of elevated UK electricity prices

Conor Frydenborg and Yara Alamin

High UK electricity prices, which often fluctuate sharply, dominated discussion at the Energy & Resources team roundtable during London Climate Action Week. Participants said above-average wholesale power costs have undermined UK competitiveness relative to other manufacturing economies. They pointed to gas's marginal-price-setting role and to limited system flexibility, especially in absorbing intermittent renewables. Proposed solutions include expanding storage, particularly battery energy storage systems (BESS), building out grid infrastructure, and revising the mechanics of the marginal pricing system.

#### Outlook:

\* The Labour government's clean power agenda, connection reforms, grid expansion, and rapid BESS deployment should reduce the frequency with which gas sets the marginal price by 2030. The government will likely retain national marginal pricing, with zonal pricing, which roundtable participants identified as a potential solution, remains unlikely. Ministers are more likely to pursue narrower changes to national pricing, additional contracts for difference for low-carbon generation, storage incentives, and additional fiscal or regulatory measures. Those steps would weaken the pass-through of gas-to-electricity costs. If delivery constraints slow the rollout, pressure will grow for more direct intervention in market design.

\* UK BESS capacity has recently surpassed nuclear capacity, rising from 10 megawatts to 7 gigawatts (GW) in less than a decade, with an additional 83 GW in the connection queue. In the short term, UK BESS capacity remains too limited to shave overall peak demand, because gas-generated electricity still exceeds total installed storage capacity. However, when paired with renewable generation, which accounted for more than 52% of the electricity mix in 2025, BESS should help the UK phase out much of its gas-fired capacity in the 2030s.

\* While renewable energy is cost-competitive and often attractive, grid connection times for new generation sources remain slow. The connection queue contains nearly four times the generation and storage capacity needed to meet the UK's 2030 clean power goals. The National Energy System Operator's grid overhaul will prioritize deployment-ready projects and should clear some of the backlog over the next few years.

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Ofgem boosts investment in long-duration electricity storage after heat waves expose UK grid gaps

Yara Alamin

The UK's national energy regulator, Ofgem, has expanded the Long Duration Electricity Storage (LDES) Cap and Floor Scheme, which will unlock investment in facilities that can discharge electricity continuously for eight hours or more, including pumped hydro storage, vanadium flow batteries, lithium-ion batteries, and compressed air batteries.

#### Outlook:

\* Under the cap-and-floor model, storage companies will benefit from offsetting upfront costs, reduced market uncertainty, and guaranteed profitability. If revenues fall below the minimum level, consumers will be charged to cover the shortfall. If revenues rise above the cap, consumers will benefit from lower network charges.

\* Most approved projects are lithium-ion battery energy storage systems (Li-BESS). These technologies can be deployed quickly, but the batteries degrade over time, meaning that unless the UK develops and scales domestic manufacturing capacity, it will remain dependent on Chinese supplies. Any Chinese-manufactured BESS technologies will face review under the National Security and Investment Act. However, the technology's decentralized architecture will limit cybersecurity exposure.

\* Alternatively, these risks, combined with the LDES Cap and Floor Scheme, create an investment opportunity for scalable, long-duration modular flow batteries. These systems separate power from capacity, allowing operators to increase output by adding battery units and extend duration by expanding electrolyte tanks. The scheme will help reduce the high upfront costs that have slowed deployment. Over a 20-year life cycle, modular flow batteries are cheaper than lithium-ion batteries, carry no fire risk, and can last indefinitely.

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Despite its centrality to the G7 agenda, alignment remains elusive

Timothy Puko and Conor Frydenborg

Minerals shaped the most important geopolitical and policy debates at this G7 summit. France's push to revive multilateral action on global economic imbalances, supply chain security, trade negotiations, financing, and infrastructure investment corridors reflected that priority. China's growing global influence stems in part from its dominance of supply chains and the minerals that support them, and that reality drove much of the agenda.

Outlook:

\* Progress was real but limited, and the outcome underscored how slowly this work is advancing. Leaders agreed to establish a G7 critical minerals alliance and a crisis coordination platform, with a larger role for the International Energy Agency (IEA). They also agreed to align stockpiling, improve early-warning systems, boost recycling, and launch traceability and transparency pilots for lithium and nickel.

\* US preferences for bilateral arrangements and price-support mechanisms were the main obstacle to deeper multilateral alignment. Washington wants to lead its own initiatives, remains committed to bilateral deals, and is wary of G7-led mechanisms that could limit US control over pricing, governance, or partner selection. The US Trade Representative largely ignored recommendations from the France- and Canada-led working group and instead briefed G7+ partners on the US price-floor initiative. G7+ partners have objected to the AI pricing system unless they have a role in shaping it. As a result, the path toward a true trading bloc, a potential IEA or OECD secretariat, or meaningful pricing alignment is unclear.

\* Without full US support, the G7 alliance will have limited influence and potential. Washington will likely intensify its push for binding bilateral agreements with Japan and the EU, building on mineral action plan deals reached earlier this year, and launch its price-floor program with only one or two partners before expanding. However, Washington's preference for directing rather than collaborating with traditional partners will probably create further friction. Washington must also preserve the fragile US-China rare earth truce before it expires in November, even as Beijing continues to use targeted export controls as leverage.

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Competing land claims are eroding forest governance and raising business risk

Maria Jose (Majo) Valverde

Governments are increasingly overriding forest protection frameworks to advance energy security and industrial policy goals, creating a two-track governance system that will raise compliance costs and supply chain risk for companies. Rising demand for biomass, critical minerals, renewable energy, and agricultural land is putting competing pressure onto the same land base and intensifying policy volatility.

Outlook:

- \* Energy security pressures are increasing demand for biomass and prompting permitting exemptions that undermine forest protection targets. Biomass demand will increasingly collide with reforestation and biodiversity goals, creating a fault line within climate policy. Many countries pursue contradictory policies, promoting biofuels while maintaining ambitious conservation targets. At the same time, other countries have revised permitting rules to fast-track mining, infrastructure, and energy projects, overriding environmental reviews.

- \* The long-term physical effects of deforestation will undermine the energy and food systems that governments are prioritizing at its expense. Heavy power users, now drawn to regions with low-cost renewable energy, will face greater supply volatility as hydropower becomes less reliable. Hotter, drier conditions will also extend fire seasons, reduce timber yields, increase prevention costs, and weaken the durability of nature-based carbon offsets.

- \* Traceability demands and investment in nature technology will intensify even as governance weakens. Despite delays and political headwinds, the EU Deforestation Regulation has already reshaped corporate strategy and prompted at least 25 compliance initiatives in producer countries. Companies will probably face rising compliance costs and higher financing costs for portfolios with unverified forest exposure. Implementation gaps will remain concentrated among smallholder producers in markets with limited digital infrastructure.

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DOE nuclear announcement is significant, though AP1000s need more support to advance

Herbert Crowther

On 23 June, the US Department of Energy (DOE) announced plans to provide low-interest financing for early parts procurement for up to ten Westinghouse AP1000 nuclear reactors to be built by five US utilities and developers. The AP1000 remains Washington's preferred option for constructing large-scale nuclear reactors, rather than small modular reactors (SMRs), especially to provide baseload power for US data centers.

Outlook:

- \* Other financial obstacles to AP1000 projects remain unaddressed. Most notably, Donald Trump's administration still appears unlikely to provide protections against cost overruns or construction delays (see: Energy, Climate & Resources, United States: Progress on nuclear projects still faces significant hurdles , 28 January 2026). Given the previous experience with AP1000 construction at Vogtle, the absence of those protections will make it difficult for private investors to give final approval to any project.

\* Public progress through the DOE pathway will probably reduce the likelihood that the Department of Commerce (DOC) will finalize AP1000 projects. The DOC still views AP1000s as possible candidates under the US-Japan and US-Korea investment frameworks. However, DOE's progress will likely shift the DOC's nuclear focus more toward SMRs (see: Energy, Climate & Resources, United States : Japan, Korea frameworks to favor SMRs over gigawatt-scale nuclear projects , 27 May 2026).

\* New York is laying the strongest groundwork for potential projects. Governor Kathy Hochul recently expanded the state's public goals to include 5 GW of new nuclear capacity and has indicated openness to public financial support for future projects. AP1000s will likely be New York's preferred large-scale reactor design, and the public ownership structure of the New York Power Authority makes it a more plausible partner than most other US utilities to pursue new AP1000s if political support persists.

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## Coal-to-chemicals and green molecules poised for more Chinese policy support

Herbert Crowther

In the aftermath of the Iran crisis, two of the clearest beneficiaries of Chinese energy policy support will be coal-to-chemicals and green molecules, including hydrogen, ammonia, and methanol. Beijing will probably draw a central lesson from the Iran crisis: China should accelerate import substitution across the energy system, thereby increasing support for both coal-to-chemicals and green molecules.

### Outlook:

\* Financing conditions for coal-to-chemicals projects will improve. Exemption from local government energy consumption targets will reduce perceived curtailment risk for banks and improve the projects' credit rating. Coal-producing provinces and local governments will also prioritize coal-to-chemicals as a growth industry for the broader coal ecosystem, especially as coal consumption in the power sector begins to plateau. Policy support for green molecules will also expand to prioritize demand. Earlier policy support focused mainly on supply. Beijing will first target demand in chemical production and international shipping. Other offtake sectors, such as steelmaking and sustainable aviation fuel, remain secondary priorities.

\* Water availability is the key constraint on coal-to-chemicals. Water consumption quotas are already tight in some of the largest coal-dependent provinces and will weigh more heavily on project financing than emissions or energy consumption. Meanwhile, storage and pipeline infrastructure are the biggest hurdles for green molecules. Policymakers are developing measures to address both constraints, and local governments will increase investment in these areas during the 15th Five-Year Plan (FYP). Chinese industry sources speculate that Chinese cleantech manufacturers could expand into green molecules as a new business line, increasing green hydrogen production capacity by as much as ten times during the FYP.

\* Externally, expansion of Chinese coal-to-chemicals capacity will create more channels for Chinese chemical exports. Beijing will expand the industry to insulate against geopolitical disruptions, but the new capacity will create headwinds for foreign competitors during periods of relative stability.

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Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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